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To:
Fiqh Council of North America
Shaykh Joe Bradford
Shaykh Umer Khan
Shaikh Dr. Sajid Umar
Shaikh Dr. Mohamad Akram Laldin
Shariyah Review Bureau

Zakat on Shares

Dear Esteemed Scholars,

I have been reading your work with appreciation, especially your efforts to simplify the complexities of zakat calculation for modern investors. Your intention to make these matters accessible is commendable, and it is clear that you have put considerable thought into creating a practical framework. With that said, I would like to offer a gentle clarification on one specific point: the zakat calculation for long-term shares.

1 Objective of the letter

This letter is not an attempt to revise your exegesis of the religious sources on zakat. Its objective is to clarify the definition of shares and explain why they cannot be treated as sole proprietorship or general partnership for the zakat calculation. There are fundament reasons that make the two types of properties distinct legally and economically. Those distinctions bear directly on the fiqh condition of complete ownership/dominion (al-milk / al-tasarruf).

2 The methodology under review

In the book '*Simple Zakat Guide*' [1], published in 2015, Sh. Joe Bradford defines the zakat for a long term shareholder, to be not 2.5% of the market price of the shares, but 2.5% of the sum of the company's cash, receivables and inventory ("CRI"). He further simplifies the calculation to assume that it can approximate to 2.5% of 30% of the share price. The opinion has been highly influential and since, similar variations of it have been issued: the Fiqh Council of North America advising to use the book value of a company (November 27, 2025) [2], Shariyah Review Bureau

validating the same methodology (February 25, 2025) [3]. As a result, most of the reputable muslim financial apps are now suggesting this calculation as an option to their customers: Wahed [4], Zoya [5], Launchgood [6], ...

The argument for it, is a parallel made between a shareholder and a shoemaker [1]. In fact, the shoe manufacturer only pays zakat on CRI and not on productive assets (such as a hammer). And the suggested calculation is indeed correct in the case of a shoe maker.

The underlying assumption behind it, is that a shareholder can be treated as a sole proprietor or partner, and the ruling extends over to them by analogy.

3 The core legal distinction: sole proprietorship/general partnership vs shareholder

3.1 Partnership

According to the IRS definition, a sole proprietor is *"someone who owns an unincorporated business by themselves"*. In a partnership structure, the investor's right is typically framed as an ownership interest in the enterprise with contractual governance rights (to varying degrees), and—critically—partnership arrangements can permit forms of access, liquidation rights, distributions, dissolution remedies, accounting rights, etc., that can make “look-through” reasoning more plausible in some cases. The general IRS definition for it is a *"relationship between two or more people to do trade or business. Each person contributes money, property, labor or skill, and shares in the profits and losses of the business."*

3.2 Shareholder in a corporation

A corporation is a separate legal entity that owns its assets in its own name. A shareholder owns shares, not the corporation's underlying property; shareholders generally have no legal right to the company's assets as assets.

This principle originated from landmark cases, such as *Salomon v. Salomon & Co. Ltd.* (1897), which established that corporate property is distinct from the property of its shareholders. The shareholder has a financial interest in the company, but does not have a dominion over these assets.

3.3 Differences in ownership

As opposed to the shoe maker, a shareholder does not have:

- The right to take inventory
- The right to collect receivables
- The right to dispose of company cash

- The right to access or use corporate property

A shareholder only has:

- Voting rights (governance right)
- Dividend rights (conditional on board declaration)
- Residual claim upon liquidation

That legal architecture is not a technicality—it is the entire point of corporate personhood: asset partitioning, limited liability, centralized control, and residual claims. Therefore, when a minority shareholder “owns” Apple, Microsoft, or an S&P 500 ETF, their ownership is not a direct, divisible ownership of the firm’s cash, receivables, or inventory. Their owned asset is the share itself.

4 The accounting mirror: GAAP/IFRS recognize the same distinction

Modern financial reporting largely reflects this legal/economic split:

- Public equity securities (typical minority shareholding): measured at fair value, with changes recognized in earnings under US GAAP (ASC 321). Under IFRS, equity investments are also measured at fair value by default under IFRS 9 (with limited presentation options like FVOCI for certain elections).
- Equity method (closer to “partnership-like” influence): used when the investor has significant influence, and the carrying amount tracks the investor’s share of the investee’s net assets and results (ASC 323 / IAS 28).

This distinction matters for zakah reasoning: only in the “influence / quasi-co-ownership” zone does a book-value, net-asset-linked view begin to resemble the investor’s economic position. For the ordinary shareholder, the recognized asset is the share at fair value—again aligning with dominion over the security, not dominion over underlying inventory or receivables.

5 Fiqh - Ownership Condition

A key condition for an asset to be in scope for zakat is that its owner has an undivided and absolute right of ownership. Ownership means “*authority that enables the owner to use the owned thing and get the benefit of all its utilities in a perpetual and exclusive manner*” (Al Bahr al Raiq, Vol 2, 218). A full derivation for this condition can be found in Fiqh al Zakah (Vol. I), Dr. Yusuf al Qardawi, Chapter 1 [7].

Applied here: A shareholder can dispose of their share (sell it, gift it, pledge it, etc.). A shareholder generally cannot dispose of, demand, or partition the company’s cash, accounts receivable, or inventory (nor can they compel a pro-rata distribution at will).

So, if “complete ownership” is understood as unrestricted disposal power, the shareholder’s dominion attaches to the security, not to the underlying balance-sheet line items. That is why the look-through basis (cash/AR/inventory) risks treating the shareholder as if they possess milk over assets they legally cannot control or access.

6 Applications

The methodology under review, poses a number of issues when applied numerically to real life situations.

6.1 Shareholder paying no zakat over their holdings

Franchise companies have little or no assets. This is because they charge a fee to their franchisees but do not own the walls. So taking that calculation, as of December 8, a Macdonalds shareholder would only pay 0.06% of zakat on the dollar if using the "CRI" method and 0 if the book value method is used. The argument that they would pay zakat over dividend payment is also flawed, because for many of these public companies, the shareholders are compensated through share buy back programs [8]. Which means under this methodology, a McDonalds shareholder would see a 7,000% return on that stock without ever paying zakat on it.

6.2 Shareholder paying a zakat higher than the value of their holdings

For a bankrupt company, the asset value held by the corporation can be above enterprise value. The reason is these assets go against more secured holders (bondholders, etc). For instance, a 150\$ position in FOXO as of Dec8 gives, using the "CRI" calculation a zakat of 12,433\$. Way above the wealth of the holder (see Figure 1);

6.3 The 30% approximation is statistically wrong

In the book ‘*Simple Zakat Guide*’, Sh. Joe Bradford writes: *"A quicker way to find the CRI value of a stock or fund is to simply use 30% of the market value of the stock or fund. This rule of thumb is based on a survey of the market and the average CRI value of most shares available in the market. Through my research, I've found that the average CRI value of a random stock is 25%-30%"* As a result, many websites assume any share held zakat can be haircut by 70%. That approximation is incorrect. To begin with, that approximation was made in 2015. If done today, the haircut would be 80% - See Figure 3. In addition, while there is some correlation, that approximation remains incorrect for most of the traded stocks in the SnP500 - See Figure 2.

7 Additional Remarks

At a time wealth inequalities are at an all time, it is important to observe they are mostly driven by a class of investors that were able to accumulate capital in the form of shares [9]. Zakat offers

a virtuous mechanism to transfer some that wealth into the most vulnerable part of the society. While this was not the intent of this methodology, it does in practice reinforces the inequalities by providing the wealthiest with a 70% haircut over their charitable contributions.

8 A proposed correction

A dominion-consistent approach would begin from the asset the person actually owns and can dispose of:

- For publicly traded shares: zakāh at 2.5% of the share's market value at the zakāh date (plus any zakatable cash/dividends held). One may consider removing as well the latent capital gains taxes from the zakatable assets, in the instance it is paid in dollars and not in kind (shares can be paid in kind through Donor Advised Funds, etc - in which case no capital gains tax is paid). This aligns with the Council's own treatment of "trade goods" and aligns with the shareholder's actual dominion over the share.
- For true partnership/co-ownership structures (or equity-method / significant influence situations where look-through resembles the investor's enforceable economic position): a look-through (or net-asset-based) zakah may be more defensible, because the ownership incidents are closer to the underlying assets.

9 Closing request

I offer this in the spirit of scholarly refinement: I respectfully ask that the Council clarify the precise *illah* (legal cause) by which minority corporate shareholding is treated as if it were a direct partnership interest in zakatable assets, despite the corporation's separate legal personality and the shareholder's lack of tasarruf over underlying assets. May Allāh grant you tawfiq in serving the community with precision and balance. Respectfully,

Dey Ex Machina

Calculate Zakat on Stocks

A free tool to help you instantly and accurately calculate how much zakat you owe on your investments.

Methodology

Holdings (1)

+ Add Holding

Calculate

Holding	Type	Shares	Current Price	Value	Actions
FOXO Foxo Technologies Inc.	Long-term	1000000	\$0.00	\$150.00	×

\$12,433.80

USD ▾

Total zakat due

Hide breakdown ↕

Figure 1: Using the 'CRI' Zakat calculation yields cases where zakat is above share value - see above

References

- [1] Joe W. Bradford, Simple Zakat Guide 3rd Edition, 2015.
- [2] Drafted by Shaykh Umer Khan. Approved by the Fiqh Council. Zakah on Stocks, <https://fiqh council.org/zakah-on-stocks/>, November 27, 2025.
- [3] Shariyah Review Bureau. Decision on the treatment of Equity, Sukuks, Funds and cash for Zakat calculations. February 25, 2025.
- [4] Zakat Guide, <https://www.wahed.com/uk/guide/zakat>
- [5] Zoya Finance, <https://help.zoya.finance/en/articles/7244507-which-zakat-calculation-methodology-do-you-use>
- [6] Launchgood, <https://www.launchgood.com/v4/blog/zakat-cash-property-investments>
- [7] FIQH AL ZAKAH (VOLUME I) A COMPARATIVE STUDY OF ZAKAH, REGULATIONS AND PHILOSOPHY IN THE LIGHT OF QUR'AN AND SUNNAH DR. YUSUF AL QARDAWI
- [8] Senators Question McDonald's on Stock Buybacks, October 21, 2024, CONGRESSIONAL TAX CORRESPONDENCE
- [9] Matt Phillips The rich now own a record share of stocks, Jan 2024

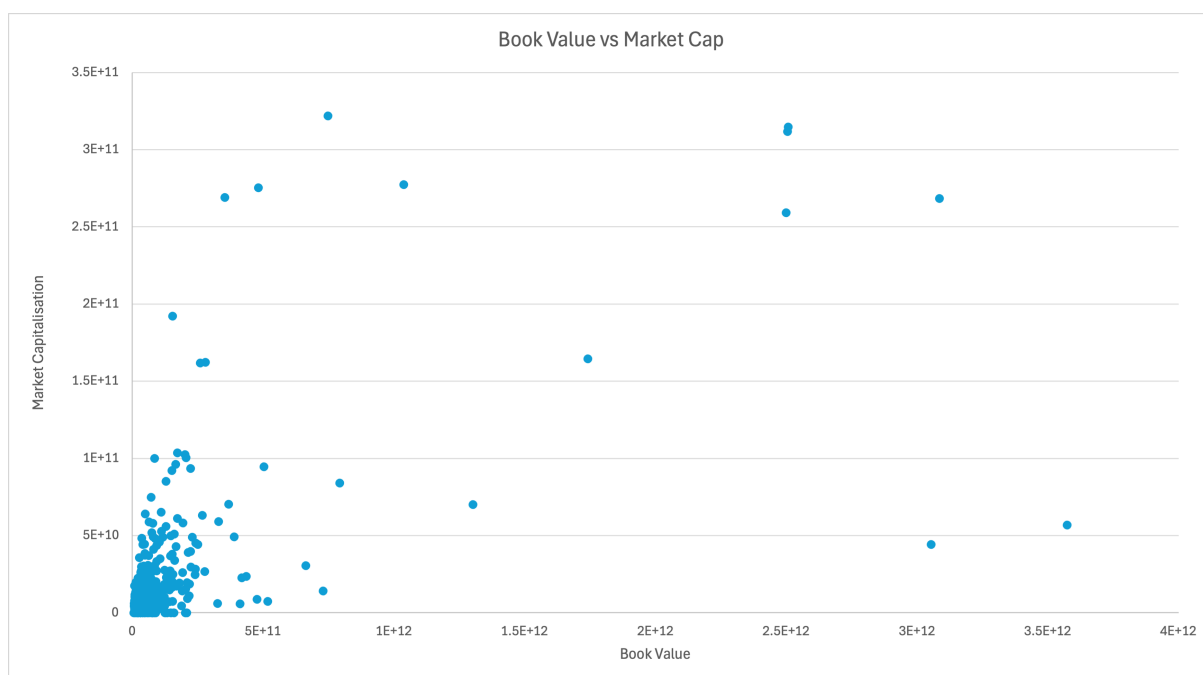


Figure 2: Book Value vs Market Capitalization (S&P 500) - Dec14 2025

S&P 500 Price to Book Value

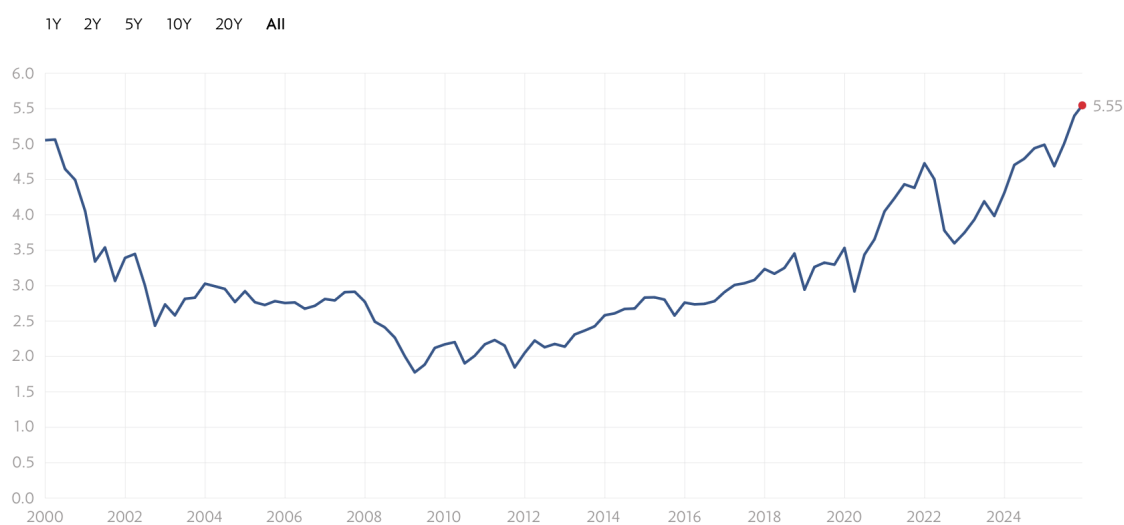


Figure 3: Price to Book Ration History (source: <https://www.multpl.com/s-p-500-price-to-book>)